Why Are Some StubHub Customers So Mad?

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AI Executive Summary

1. Core Thesis Despite establishing its business model on the promise of trust and safety in the event ticket resale market, StubHub faces a growing crisis where rapid expansion and shifting financial priorities have undermined its customer support infrastructure. While it successfully captured a significant share of the secondary market during the post-pandemic boom, mounting complaints about ticket delivery failures, refund delays, and operational gray areas threaten to erode the "trust" currency upon which their entire business model depends.

2. Key Arguments & Data

3. **Market Dominance:** StubHub holds approximately 50% of the North American secondary ticket market (valued at $18 billion).
4. **Customer Complaint Surge:** BBB data shows complaints climbed 63% in the eight months leading up to StubHub's IPO in September 2025.
5. **Financial Misalignment:** Revenue rose 68% between 2022 and 2025, while operations and support budget decreased by approximately $10 million during the same period. In 2025, sales and marketing spending exceeded 50% of revenue, whereas operations and support spending was less than 1/15th of sales costs.
6. **Ticket Delivery Failures:** Specific cases include a customer paying ~$12,000 for World Cup field-level seats who received significantly downgraded "nosebleed" seats despite an alleged "upgrade." Other issues include mismatched event tickets (e.g., basketball game replaced with a comedy show) and sellers failing to transfer tickets without penalty.
7. **Speculative Ticketing:** Sellers often list tickets before public sale availability; penalties for non-delivery are minimal compared to profit, creating a gray area permitted by StubHub's "gray area" enforcement.
8. **Refund Process Complexity:** Customers face inconsistent timelines (e.g., 24 hours changing to 8 days) and lengthy processes involving over a dozen calls over two weeks for refunds.

9. **Arbitration Barriers:** Initiating arbitration requires physical mail delivery, which is complicated by StubHub changing its mailing address seven times over a 1.5-year period.

10. **Stock Market Reaction:** Following an earnings call where CEO Eric Baker admitted World Cup ticket failures affected a "relatively small percentage" of customers but acknowledged the need to do better, the company's stock dropped approximately 18%.

11. Actionable Takeaways

12. **Verify Ticket Guarantees:** Do not assume immediate refund availability if issues arise; understand that the "Fan Protect Guarantee" is at the sole discretion of the company and replacement tickets may be significantly downgraded in experience for cost parity.
13. **Investment Risk Assessment:** Monitor companies relying on customer trust (like StubHub) closely, as declining operational budgets coupled with rising revenue often precede consumer satisfaction drops and stock price corrections.
14. **Resolve Disputes Efficiently:** Expect significant friction when attempting to access support or arbitration; verify current mailing addresses before initiating legal notice requirements and consider external channels like credit card chargebacks after exhausting internal appeals given the documented infrastructure delays.

Full Transcript

To many, the event of the summer was the 2026 FIFA World Cup. Nearly 7 million people showed up to watch one of the tournament's games in person. But for a lot of fans, getting a ticket was a real struggle. It was a battle royale. If you didn't have thousands of dollars that you were willing to part with, it was a dance to find a ticket within your budget. That's our colleague, Hannah Kruger, who covers retail.

She says a lot of people missed initial ticket sales and had to find them elsewhere. Those who maybe last minute decided that they were really into the World Cup or finally acquiesced to a kid's pestering and said, okay, fine, I'll buy tickets. A lot of people look to secondary ticket sites and StubHub was there for those folks. StubHub, the online ticketing platform, sells tickets on the secondhand market. It connects buyers to resellers, offering tickets to concerts, festivals, and sporting events like the World Cup. But instead of chanting alongside fellow fans, some StubHub customers were stuck outside the stadium listening to this. Thanks for calling StubHub. We are here for you all the way to your seat. Your call is important to us and may be monitored or recorded. Please wait while we transfer you to the next available agent. Thank you for holding.

You are currently caller number one in our queue. Some folks found that they didn't have the tickets in the days leading up to the event, like they weren't transferred into their account. So a lot of them would call Stubhub say, hey, getting a little nervous here. It's coming up. And in most cases, these fans were told, hey, don't worry about it. We have you covered. Just continue to the front gate and by game time you will have your tickets. Unfortunately, what happened is that some folks did not wind up getting any tickets, and they were empty-handed outside the gate when kickoff happened. Stubhub has blamed World Cup disruptions on what it says were obstacles with FIFA's mobile ticket app. But Hannah says Stubhub's ticketing troubles predate the World Cup, and she found dozens of examples of ticketing failures for all kinds of events. So while the World Cup obviously...

stole the attention this summer because it was the biggest ticketing event. I also found dozens of examples of ticketing failures that involved all kinds of different events. We're talking Knicks games, Hamilton Play, George Strait Concert, and these all kind of span the gamut. In other words, customers were complaining about problems with StubHub beyond and before the World Cup. Exactly. Welcome to The Journal, our show about money, business, and power. I'm Jessica Mendoza. It's Wednesday, August 19th. Coming up on the show, StubHub's ticketing fiasco. StubHub got its start in 2000 with a simple premise to make buying event tickets on the resale market easy and safe. StubHub was founded by two business school students named Eric Baker and Jeff Fleur and the whole idea was

Buying secondhand tickets should not feel like a back alley shakedown. Like you should not be feeling like you have to meet some guy in an alleyway and it's dark and you don't really trust the guy but it's the only way you can get to this show that you should have probably bought tickets for a long time ago. Oh is that really what it was like in the 90s where you had to kind of call some dude you didn't know on a pay phone or something? I mean you I mean I think I've had this happen outside like a Broadway show people will you know be like oh I got a ticket for you and you're like oh man I'm pretty desperate like, should I really take the bait on this? So Baker and Fleur pretty much decided, hey, how can we build an online platform that brings legitimacy to this underground market? And they did that by creating StubHub. So if I bought a ticket on StubHub, what's happening on their end? So StubHub doesn't actually own or sell tickets itself. StubHub is the middleman between a buyer and a seller. So StubHub never actually obtains that ticket. What StubHub does do is handle the money. It collects payments from buyers. And then once the seller sends the ticket, transfers that money to them. But buying stuff online from strangers can still feel a little iffy. So StubHub offers what it calls the fan protect guarantee.

So this was this guarantee that if you don't get into your event, we'll provide a replacement ticket for you that's comparable, or if in the worst case scenario, we'll give you a refund. But the idea was like, it's all good, you can trust us. This is, we're legit and this is a legitimate way to get into the show or the game that you want it to go to. It's interesting because Step Up's actual product never actually was tickets. It was trust. It was, we can trust

us to be the filter through which people sell tickets. And that guarantee was the whole business. How did that actually work? It was just a promise that they made to fans that like if you didn't get your ticket or something went wrong, we would cover you? Yeah. So they invested really heavily in customer support in those foundational years and I spoke to one source who was there in the early days of Step Up, you know, big expansion, and he described how they would have to spend a lot of money to replace tickets. And it sometimes was like, oh, wow, this doesn't make a ton of sense, but people really trust us. And we've really become this brand that people go to and feel okay using for what used to be a shady business. Investments into customer service helped the company capture a big share of the ticket resale market.

StubHub says it holds about half of the secondary ticket market in North America, which it values at 18 billion. And despite the ding that the pandemic put on the live events industry, StubHub was able to weather the storm and show up in great form after and really seize the moment of people wanting to go back to live shows. That's when they really captured that market share and became the biggest competitor in this secondary market space. Baker and the rest of the company was able to power through and get the company to go public in September. But while StubHub celebrated its initial public offering, something else was happening in the background. Customer complaints were surging. I noticed that in the months leading up to StubHub's IPO in September of 2025, those complaints had been steadily ticking upwards, and they actually reached their peak the same month that StubHub went public.

Complaints about StubHub climbed 63% in the eight months leading up to StubHub's IPO, according to data from the Better Business Bureau. Looking over the records and talking to more than 50 StubHub customers, Hanna found that a lot of them were facing the same issue. Sellers weren't transferring tickets to fans. Tickets they'd already paid for. Why would a seller not transfer a ticket to a buyer? Isn't that how they get paid? There's cases when a seller will list a ticket on Stubhub or also their social media or also another secondary ticket site just to cover the bases to make sure they get the things sold and they'll sell it on something that isn't Stubhub and not take down the listing on Stubhub. So in that case, the ticket was double

sold. There's also a little bit shadier situations where I talked to some folks who described getting a ticket to a vent That is nothing like the one that they paid for. One guy bought courtside tickets to the Knicks in January, and when he opened his app before the game, he had tickets to a comedy show called No Hard Feelings. So technically, the seller delivered tickets, but obviously not to the event that this guy paid for. So that's just a case of maybe some fraudulence going on, and maybe that'll slip through the cracks and the seller will still get paid.

Another problem is so-called speculative ticketing, where the seller lists tickets for an event before they're publicly available. Big sellers can speculate that they will be able to get their hands on a ticket to a future event. Just because they know the market, they know people, they are pretty sure they'll be able to get a ticket to a future event that's going to be popular, despite the fact that it's not on public sale yet. They can list that speculative ticket on... StubHub or another secondary ticket site, it can be bought. And then they have until the day of the event to find that ticket and deliver it to the buyer. If everything works out, the seller pockets the difference in ticket price. If it doesn't, the buyer is left scrambling. Is that allowed on StubHub? StubHub says they prohibit this practice. When I brought this up to StubHub, they said, There are sometimes way for legitimate tickets to enter the marketplace prior to public sale. So in terms and services, this is not allowed. There's a little bit more of a gray area when it comes to how it's actually played out. Sellers who don't deliver have to pay penalties, but those penalties are often far less than the profit they make, according to Hannah's reporting. Stubhub says its goal is to get every fan into their event every time.

That's what the fan protect guarantee is all about. In cases where buyers don't get their tickets, StubHub promises to do its best to find comparable or better seats to replace the ticket. And if the company can't, it issues a refund or a credit. But for some customers, the process is not as easy as it sounds. That's next. One of the StubHub customers our colleague Hannah spoke to is Reggie Jean Brice. Back in March, He and a friend decided to buy tickets to a World Cup game. We found the tickets on Stubborn and we selected it, right? It was kind of like a spur of the moment decision. Then we bought

our specific seats so we knew exactly what we were getting given the price of the tickets at the time, which I think we paid just under 12K for both.

Oh wow, okay. So you bought that? Yeah, we wanted to get something very close to the field and really experience what that would be like. Reggie got two field level tickets for almost 12,000 for a semi-final game scheduled for mid-July. A few weeks before the game, Reggie got an email from Stubhub, telling him he was getting upgraded tickets. But something didn't seem right. An upgrade didn't make sense to Reggie because he was already at the field level. How much better could it get? Reggie decided to call StubHub's customer service to ask what was going on. And they were telling me, oh, no, it's definitely an upgrade. You'll be seated. You'll have a much better view of the game. But when Reggie finally got his tickets, it was for section 454 row five, which is the top tier of the stadium pretty much.

A few rolls down from like as high as you can drop. The upgrade was actually a major downgrade. Reggie had been moved far from field level to seats way up in the nosebleeds, and it was still costing him almost 12,000. Okay, but how does something like this happen? If it's a really high profile show, very often... there won't be many tickets left on the platform. And if there are, they're going to be quite expensive. So that's where a conundrum happens. There might be replacement tickets that are visibly available on the app. But the price is much more than what the person paid for their ticket that is no longer being delivered. The guarantee in the fine print does say that replacement tickets only come at the sole discretion of Step Up.

cost comes into play. They're replacing it at the same price, not necessarily for the same experience. That is the idea, yeah. So what did Reggie do next? Did he still go to the game? So eventually, Reggie gave up and he decided to transfer the tickets back and request a refund. or given the amount of money that we paid for the tickets, that was a no-go for me. I would rather just watch it at home. But actually getting a refund was its own battle. They told me that I will receive a decision in 24 to 48 hours, which I don't know how it can be a decision if your own guarantee promises be a refund. Then it changed 72 hours all the time.

Then they said, oh, it'll be five to eight days before you get your refund. Reggie recorded one of his calls to customer service, where, again, he was

told the refund was on the way. Every time I call, I get a different timeline. You told me it's three more days. They need three days. But what I'm saying, it's already been three days. Then it became four days. Then it became eight days. And I still haven't heard anything. I still haven't had my refund. It's been a long time. I know you have a lot of patience about this one, but actually we need more patience of yours. So for now, to be transparent, we actually just needed to wait for an additional email. How long do we have to wait? After his initial request, it took a dozen calls over two weeks for Reggie to get his refund.

A StubHub spokesperson said the company is disappointed that Reggie wasn't able to attend the game and that it processed his refund two days after the event. The spokesperson said, quote, refunds are a safety net compared to the lack of protections in social media sites or buying a ticket in a parking lot. In the end, Reggie did get a refund. How often did that happen? Well, most people do eventually get a refund, but in some cases, It takes involving a lawyer, reaching out to the press, threatening to charge back on their credit card. And this is where people I spoke to really grew frustrated. They described being promised a refund over and over again, and it never showing up. Former employees told Hanna that StubHub's customer service operation is stretched thin. Disputes that should have taken days to resolve took months. StubHub.

Employees that I spoke to who worked at the company and the customer service wing said that the infrastructure to handle these types of complaints was rickety and discombobulated. And in some cases agents couldn't even see if a refund had been promised or if an AI chatbot had promised a refund. So they were stuck in this kind of gray area where they didn't know where a case was standing. In the years leading up to its IPO, Stubhub spent less on operations and support. Its budget went down by about 10 million from 2022 to 2025, while revenue over the same period rose 68%. In 2025, Stubhub spent over half of its revenue on sales and marketing, more than 15 times what it spent on operations and support.

A StubHub spokesperson said the operations and support budget doesn't include some expenses related to fraud protection, technology, and engineering. The company added that it has invested significantly in

customer service, operations, and fulfillment teams. They added, quote, we're always evaluating how we can improve. And our internal metrics show these investments are paying off. For ticket buyers who haven't had success with customer service, StubHub has a final avenue to get their money back, private arbitration. But that comes with a whole other set of challenges. In order to initiate an arbitration suit, you have to send physical mail to step up to say, hey, by the way, I have this dispute. I am going to take you guys to arbitration over it. And this is my notice of that. This is a mandatory aspect of taking step up to arbitration. So you have to send the mail, like physical mail. You have to send the mail. You have to send the physical mail. I mean, it needs to be acknowledged by them that you sent this mail.

I spoke to a lot of folks who tried to do just this and their mail kept coming back as undeliverable. And this was for mailing addresses that were in Stubhub's terms and conditions on the website actively. So they were obviously perplexed. And these folks described to me that Stubhub changed its mailing address seven times over the course of a year and a half. So it was a moving target. They found it quite frustrating because they were trying to follow a procedure that StubHub outlined in its own turbine services, but they couldn't even get it to stick because there was no one to send it to. StubHub declined to comment on the changes of address. You said earlier that StubHub's product is trust. How much of a problem is this for the company, you know, hearing these kinds of experiences from customers? Last week on their earnings call for the second quarter, StubHub CEO Eric Baker admitted that people had issues getting into the World Cup games with StubHub tickets. We're not perfect. We know we have a long way to go. And we certainly know as fans that it doesn't take away from the disappointment. He said that it was a relatively small percentage of StubHub customers. But nonetheless, he said, we know that even a small subset of folks having failed tickets is an issue and we strive to do better. I just want to emphasize how seriously we take it.

that we realized that it is something we need to do. So there's an acknowledgement that their trust is the currency that StubHub operates on. And if that's fractured, it definitely puts the company at risk. Since that earnings call, StubHub's stock has dropped about 18%. What do you make

of all this? I mean, you look at the company like StubHub that... relies on trust as its currency. And as more people trust it, the company grows, and then we're seeing kind of more and more issues coming from customers. Like, what does this say to you? What is this story about? I think this is in part, like, a guarantee, like the fan protect guarantee is only worth what a company is willing to spend to honor it. And StubHub used to place a lot on being a customer support bastion and delivering on this idea of legitimizing a somewhat shady marketplace. While they've expanded, there have been cutbacks that have allowed for a lack of support to enter the marketplace, so the customer is suffering, despite the fact that StebHub is growing. It puts the consumer in a really tight place.

probably have to opt out of these experiences. And it'll be interesting to see what StubHub does if they invest in their customer support operation and they try to turn the ship around when it comes to this. Their next move will kind of say what they value and what they see as the future for the company. That's all for today, Wednesday, August 19th. The journal is a co-production of Spotify and the Wall Street Journal. If you like our show, follow us on Spotify or wherever you get your podcasts. We're out every weekday afternoon. Thanks for listening. See you tomorrow.